

BIS / CPMI Principles for Financial Market Infrastructures (PFMI)

International Standards for Systemically Important Payment Systems, Central Securities Depositories & Central Counterparties

Standard Setter:	Bank for International Settlements (BIS) / CPMI & IOSCO
Specification ID:	CPMI-PFMI-101
Classification:	Systemic Financial Market Infrastructure Standard
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Legal Basis & Comprehensive Risk Management

A financial market infrastructure (FMI) must have a well-founded, clear, transparent, and enforceable legal basis across all relevant jurisdictions. It must maintain a sound risk-management framework for comprehensively managing legal, credit, liquidity, operational, and general business risks.

2. Credit & Liquidity Risk Mitigation

Payment systems must effectively measure, monitor, and manage credit and liquidity exposures against participants. An FMI must maintain sufficient liquid resources in all relevant currencies to effect same-day, intraday, and multi-day settlement with high confidence under a wide range of stress scenarios.

3. Settlement Finality & Delivery-versus-Payment (DvP)

Final settlement must occur intraday or in real time, and no later than the end of the settlement day. Systems that transfer securities or digital assets against funds must link transfer legs to achieve delivery-versus-payment (DvP) or payment-versus-payment (PvP) to eliminate principal credit risk.

4. Operational Resilience & Business Continuity

FMIs must design operational architectures capable of withstanding severe disruptions. Recovery time objectives (RTO) must not exceed 2 hours for critical payment rails, backed by redundant geographically dispersed datacenters, immutable audit trails, and automated failover telemetry.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.